WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

SENEGAL

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Dakar and Diamniadio	Capital, regional headquarters of the BCEAO and West Africa's leading Atlantic gateway; the Diamniadio special economic zone hosts 26 companies	Financial services, logistics, light manufacturing, services
Sangomar offshore field	Woodside-operated field about 100 km off Dakar that produced 36.1 million barrels in 2025, above the initial 30.5 million forecast	Oil, offshore services, local content
Greater Tortue Ahmeyim (Saint-Louis, Mauritania border)	Cross-border LNG project shared with Mauritania, now exporting, with December 2025 the strongest month of the year	LNG, gas services, marine logistics
Ndayane port (south of Dakar)	DP World's port of about $1.2 billion, Senegal's largest private investment, with an 18-metre draft; main dredging finished 13 months early and delivery is set for Q3 2028	Port logistics, container handling, industrial zone
Special economic zones (Diamniadio, Sandiara, Diass, Bargny-Sendou)	Seven zones, four operational, hosting 43 companies with CFA 188.9 billion invested and around 2,820 jobs	Manufacturing, agro-processing, export industries
Cayar Offshore Profond (Yakaar-Teranga)	Gas resource officially estimated above 20 trillion cubic feet, now under a sole Petrosen licence and aimed at domestic supply	Gas development, gas-to-power, engineering services
Dakar–Kidira–Bamako corridor	Main trade route to landlocked Mali, one of Senegal's leading export markets, with a rail rehabilitation project of about $2.6 billion	Rail, road freight, cross-border trade

INVESTOR ENTRY ROUTES

- APIX (Agency for the Promotion of Investments and Major Works) is the one-stop entry point for investors, incentive approvals and the Invest in Senegal forum
- New Investment Code adopted in September 2025, lowering the eligibility threshold from CFA 100 million to CFA 15 million and offering VAT suspension and customs exemptions during the build phase (three years in Dakar and Thiès, up to five elsewhere), with a digital single window targeting decisions within ten working days

- Special economic zone regime covering seven zones, including Diamniadio, Sandiara, Diass and Bargny-Sendou, with serviced land on long-term leases
- CFA franc (XOF) issued by the BCEAO and pegged to the euro, with foreign-exchange operations governed by common UEMOA regulations; the regional policy rate stands at 3.00%
- Hydrocarbons entry through licences and partnerships with the national oil company Petrosen, including the gas-to-power agenda around Yakaar-Teranga
- Large infrastructure and public-private projects in a pipeline of over $15 billion of foreign investment for 2026–2030, including the Grand Transfert d'Eau (about $8 billion) and Dakar–Bamako rail
- OHADA uniform business law and regional arbitration, with the UEMOA regional bond market and BRVM exchange providing local-currency financing

MARKET-ENTRY OBSERVATION

Senegal enters October 2026 as West Africa's newest oil and gas producer, with growth momentum and a clear route back to market confidence. GDP grew 6.7% in 2025, the first full year of hydrocarbon output, with Sangomar producing 36.1 million barrels against an initial forecast of 30.5 million, and non-hydrocarbon growth recovering to 4.7% year-on-year in Q1 2026. Inflation was 1.4% in 2025, within the regional target, and the BCEAO held its policy rate at 3.00% in September 2026. FDI reached a record $3.3 billion in 2024 before falling sharply in 2025 as Sangomar and GTA moved from construction into production, lifting the FDI stock to about $25 billion. A new Investment Code (2025) with lower thresholds and a ten-day digital approval window, the Ndayane deep-water port and a pipeline of more than $15 billion in planned foreign investment for 2026–2030 underpin the next phase.

Senegal's central challenge is restoring debt sustainability after a 2025 audit found that borrowing between 2019 and early 2024 had been under-reported by more than $11 billion; the IMF's revised figures put public debt at about 132% of GDP, and Moody's (Caa2) and S&P (CC) have downgraded the sovereign. The authorities have responded decisively: the deficit was cut from 13.4% of GDP in 2024 to 6.4% in 2025, and on 1 September 2026 IMF staff agreed a new three-year Extended Credit Facility of about $2.2 billion, subject to corrective action on misreporting and creditor financing assurances. The government has launched a Debt Treatment Plan under an "enhanced" G20 Common Framework covering external debt, including bilateral, commercial and Eurobond debt, while excluding CFA franc regional debt, and targets IMF Board approval in November 2026 and creditor agreements in principle in December. A successful treatment would return Senegal to a sustainable footing, with hydrocarbon revenues and World Bank backing behind it.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
External debt treatment and past misreporting	External debt, including Eurobonds and commercial loans, is being treated under the G20 Common Framework, and terms for creditors, possibly involving losses or longer maturities, are still being negotiated	Agreements in principle are targeted for December 2026; regional CFA franc debt is excluded, and new investors can enter at a clearer, post-treatment debt baseline
Sovereign ratings and financing costs	Moody's downgraded Senegal to Caa2 (negative) in August 2026 and S&P rates it CC, raising borrowing costs for the state and local counterparts	Prioritise DFI co-financing, MIGA cover and project-level revenue streams; ratings typically recover once a debt treatment and IMF programme are in place
Domestic arrears and supplier payments	The 2026 revised budget brings CFA 300 billion of unpaid non-financial obligations into the accounts, and arrears monitoring is a programme priority	Build payment security into contracts, using escrow, DFI guarantees or export-revenue-backed structures, while the IMF programme tightens arrears control
Fiscal consolidation and tax policy	The revised 2026 budget sets the deficit at 7.6% of GDP after a tax shortfall, and a medium-term revenue strategy is due in 2027	Secure Investment Code approvals early to lock in incentives; consolidation under the IMF programme strengthens long-run macro stability
Political coordination	President Faye appointed Prime Minister Ahmadou Al Aminou Lô in May 2026, and former Prime Minister Ousmane Sonko now presides over the National Assembly, which must pass budgets and reform laws	Senegal has a long record of peaceful democratic transitions; track budget votes and engage both the executive and parliamentary committees

Issue	Potential Impact	Possible Mitigation
Energy costs and subsidies	High electricity costs are a constraint for special economic zones, and energy subsidies in 2026 were raised to CFA 790 billion	Domestic gas from Yakaar-Teranga and GTA offers scope for lower-cost power, creating opportunities in gas-to-power and captive generation
Post-construction FDI slowdown	FDI inflows fell sharply in 2025 as the major oil and gas projects completed construction	Ndayane port, Yakaar-Teranga, rail and water projects form the next investment wave, with early entrants well placed for supply-chain roles

INVESTOR RISK NOTE

Senegal's risk profile is shaped by a transparent reckoning with past debt misreporting, set against strong underlying assets: new oil and gas output that beat forecasts, a stable euro-pegged currency within UEMOA, low inflation and a long democratic tradition. The material fact for investors is that Senegal is restructuring its external debt, including Eurobonds and commercial loans, under an enhanced G20 Common Framework, and ratings agencies treat a distressed exchange as likely; CFA franc regional debt is excluded, and coupons continued to be paid in September 2026. Holders of sovereign or sovereign-linked external claims should take specialist advice and expect changed terms. For project and corporate investors, the IMF staff-level agreement of about $2.2 billion, the targeted November 2026 Board approval and World Bank support for a faster process provide a clear route to stability. Practical mitigation includes DFI co-financing, political-risk cover and payment-security structures, and the post-treatment period should offer a cleaner, better-monitored fiscal framework in which to invest.

MARKET ACCESS

Senegal is a member of the West African Economic and Monetary Union (UEMOA), sharing the CFA franc and BCEAO with seven other states, of the Economic Community of West African States (ECOWAS), and of the African Continental Free Trade Area, and has been a WTO member since 1995. Dakar is the natural Atlantic port for landlocked Mali, its leading regional market, and the Ndayane port will add deep-water capacity from 2028. Exports are led by gold, crude oil, refined petroleum products and phosphoric acid; in December 2025 the main destinations were Switzerland (19%), Belgium (16%), Mali (10%), Spain (9%) and the United Kingdom (7%), with LNG from GTA now adding a gas export stream. This mix of regional monetary integration, Atlantic access and European and Swiss market links gives investors a gateway to a wider West African market.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidency (Bassirou Diomaye Faye) and Prime Minister's Office (Ahmadou Al Aminou Lô)	Sets economic strategy and leads engagement with the IMF, World Bank and G20 creditors on the debt treatment	Primary reference point for strategic direction and government-to-government priorities
APIX (Agency for the Promotion of Investments and Major Works)	National investment agency, led by Director General Bakary Séga Bathily, administering Investment Code approvals and major projects	First point of contact for market entry, incentives and the Invest in Senegal forum
Ministry of Economy, Finance and Planning (Cheikh Diba) and its Debt and Financing Directorate (DGFD)	Leads the IMF programme and the Senegal Debt Treatment Plan, including creditor meetings	Essential for understanding fiscal policy, arrears clearance and sovereign counterpart risk
BCEAO (Central Bank of West African States)	Regional central bank headquartered in Dakar; sets UEMOA monetary policy and foreign-exchange rules	Relevant for currency, transfers and banking-sector matters
Ministry of Energy and Petroleum (El Hadji Abdourahmane Diouf) and Petrosen	Oversees licensing and the state's stakes in Sangomar, GTA and Yakaar-Teranga	Key counterpart for hydrocarbons, gas-to-power and local-content opportunities
National Assembly (President Ousmane Sonko)	Votes budgets, revised finance laws and reform legislation linked to the IMF programme	Relevant for tracking the legislative path of fiscal and investment reforms

Actor	Why It Matters	Waverley Engagement Angle
DP World (Ndayane port concessionaire)	Developer of the largest private investment in Senegal's history and its linked economic zone	Partner for logistics, port-linked industry and supply-chain investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

APIX's Invest in Senegal forum is the principal investment showcase; the 2025 edition drew 11,772 participants from 70 countries and announced $23.5 billion of investment intentions. The Dakar Chamber of Commerce, Industry and Agriculture and the national employers' bodies provide domestic business liaison. The World Bank Group, including IFC and MIGA, the African Development Bank and the IMF are closely engaged, and World Bank President Ajay Banga has pledged to help Senegal move through the Common Framework faster than earlier cases. International operators such as Woodside at Sangomar, Kosmos on GTA and DP World at Ndayane are a valuable source of practical insight on operating conditions.

INVESTOR PROFILE BEST SUITED

Senegal suits investors with a medium- to long-term horizon who can build on its democratic stability and new energy base: energy and gas-to-power investors drawn by Yakaar-Teranga and domestic gas supply; logistics, port and industrial investors positioned around Ndayane, the special economic zones and the Mali corridor; infrastructure and water investors working alongside DFIs; and agro-processing and manufacturing firms using the lower Investment Code thresholds. Investors holding or considering sovereign external debt should factor in the ongoing debt treatment, while project and corporate investors are best served by structures with DFI participation, political-risk cover and secure payment mechanisms.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage APIX and secure Investment Code approval
Use the digital single window to confirm eligibility under the 2025 Investment Code and lock in build-phase VAT and customs incentives.

STEP 2: Track the IMF programme and debt treatment milestones
Monitor the targeted November 2026 IMF Board approval and December creditor agreements, and take specialist advice on any sovereign or state-linked exposure.

STEP 3: Structure with DFI partners and risk cover
Approach IFC, MIGA and the African Development Bank early for co-financing, guarantees and political-risk insurance that strengthen bankability.

STEP 4: Target the next investment wave
Assess opportunities linked to Ndayane port, Yakaar-Teranga gas-to-power, the Dakar–Bamako rail and the special economic zones.

STEP 5: Build payment security into public-sector contracts
Use escrow, guarantees or revenue-backed mechanisms for state counterparts while arrears clearance and fiscal reforms progress.